

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Oracle's \$300 billion deal** with OpenAI is testing the limits of Wall Street's appetite for debt tied to America's data-center boom. **A1**
- ◆ **Meta Platforms will** lay off 10% of staff, or about 8,000 people, in May as it seeks to streamline operations and pay for massive investments in artificial intelligence. **B1**
- ◆ **U.S. stocks fell as** investors weighed corporate earnings against a troubled geopolitical backdrop. The S&P 500 and Dow both slipped 0.4% and the Nasdaq shed 0.9%. **B9**
- ◆ **Intel, benefiting from** the rise of AI agents and new partnerships, reported quarterly sales of \$13.6 billion, up 7% from a year earlier. **B1**
- ◆ **Microsoft offered** long-tenured employees voluntary buyouts, a first for the company as it reorganizes to accelerate its AI work. **B1**
- ◆ **Tesla said it would** offer upgrades or trade-in discounts to owners of its older vehicles that aren't equipped with autonomous-driving technology. **B1**
- ◆ **Hyundai posted weaker** first-quarter earnings amid sluggish global vehicle sales, as U.S. tariffs continued to weigh on the company. **B2**
- ◆ **Nestlé reported a** 5.7% decline in sales for the first quarter as Chief Executive Philipp Navratil overhauls the food company's structure. **B3**
- ◆ **Comcast stemmed** subscriber losses for its domestic residential broadband business and reported higher advertising revenue. **B4**
- ◆ **American Express** reported higher first-quarter profit on the back of spending from upper-income customers. **B9**

Worldwide

- ◆ **A Navy destroyer** intercepted an Iranian-flagged tanker that had slipped past a U.S. cordon and was escorting it off the west coast of India, foiling its attempt to deliver its cargo. **A8**
- ◆ **The Trump administration** reclassified marijuana as a less-dangerous drug, a policy shift that could make it easier to buy and sell pot and reward investors in the cannabis industry. **A1, A6**
- ◆ **Trump said Israel** and Lebanon agreed to extend a cease-fire between Israel and Hezbollah by three weeks after talks at the White House. **A9**
- ◆ **Authorities charged a** U.S. Army soldier who participated in the mission to capture Maduro with using classified information to profit from bets on the former Venezuelan leader's ouster. **A3**
- ◆ **A driver involved** in the LaGuardia Airport runway disaster heard a controller's calls to stop but didn't know they were meant for his truck, a preliminary investigative report said. **A3**
- ◆ **The FDA approved** Otarmeni, a drug made by Regeneron that can actuate hearing in children born deaf because of a faulty gene. **A3**
- ◆ **The main outside group** supporting Democrats' efforts to regain control of the House reserved \$272 million in TV and digital advertising ahead of the midterm elections. **A4**
- ◆ **A former North Carolina** police officer accused of threatening a mass shooting at a New Orleans festival was arrested in Florida. **A3**

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U.S. Forces Capture Ships Carrying Iranian Oil



DEPARTMENT OF DEFENSE

HIGH SEAS SEIZURE: U.S. forces rappelled from helicopters to board the Majestic X, a sanctioned tanker carrying oil from Iran on the Indian Ocean, in a Defense Department handout photo. Scan the code for video of the operation. **A8**



Hegseth Keeps Trump's Support Amid Strife, Firings at Pentagon

Navy secretary seen as slow on agenda; a last-ditch plea to pal in Oval Office failed

John Phelan sat in the lobby of the West Wing for more than an hour on Wednesday night, waiting to see if his longtime friend and

By *Lara Seligman, Josh Dawsey, Alexander Ward and Natalie Andrews*

neighbor, President Trump, would save his job. He would leave disappointed. Earlier that afternoon,

Phelan, the Navy secretary, had received a phone call from his boss, Defense Secretary Pete Hegseth, asking for his resignation. Phelan had spent most of Wednesday on Capitol Hill, meeting with lawmakers about Navy shipbuilding and the Pentagon's budget request.

A few miles away at the White House, another gathering was taking place that would decide his fate, according to U.S. officials. Hegseth and his deputy, Stephen Feinberg, made the argument to Trump that Phelan wasn't moving quickly enough on Trump's shipbuilding priorities, especially the "Golden Fleet" and increasing reliance on the use of steam. The

War's Impact

- ◆ **China's satellites stoke** concerns for U.S..... **A8**
- ◆ **Lebanon mourns** journalist as truce extended..... **A9**
- ◆ **American Airlines warns** on fuel costs..... **B1**

Navy, they determined, needed new leadership.

Phelan made a round of calls, including to the president's executive assistant, saying he needed to speak with Trump. Phelan then headed to the White House. Once the president had a spare minute on Wednesday evening, Phelan asked to keep his job, but the commander in

chief backed Hegseth's decision, according to a senior administration official.

The episode is a sign that Hegseth retains Trump's support despite recent personnel churn at the Pentagon. In signing off on Phelan's dismissal, the president sided with Hegseth over a personal friend and neighbor who had raised millions of dollars for his campaign. Trump instructed the Pentagon chief to handle Phelan's firing, administration officials said.

Speaking at the White House on Thursday, Trump praised his friend, but said, "He's a hard charger and he had some conflicts with some

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SpaceX IPO to Help Musk Secure Control

Tesla's shareholders already give Elon Musk leeway, entertaining the billionaire's whims as he plows money into robots and blessing a \$1 trillion compensation package that will pay out if he hits long-shot targets.

By *Corrie Driebusch, Becky Peterson and Theo Francis*

He is poised to have even more sway at his rocket-maker, SpaceX, which is aiming to go public in June.

SpaceX's board has already granted him its own "moon-shot" pay package, people familiar with the matter say. And, unlike at Tesla, the billionaire is expected to control SpaceX through the use of supervoting shares, the people said.

While such moves raise the eyebrows of many corporate-governance experts—until as recently as 2023, the S&P 500 banned companies with dual-class shares from entering its index—investors large and small seem so eager for a piece of Musk that they are willing to overlook and even welcome such founder-friendly terms.

Musk and his associates are pitching existing and prospective investors on SpaceX's IPO this week in Starbase, the company town outside of Brownsville, Texas, where SpaceX builds and launches its Starship rockets.

Several existing SpaceX investors said they welcome the moves to keep Musk's interests aligned with their own.

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INSIDE



SPORTS

How Fernando Mendoza aced the NFL's toughest job interview. **A16**

MANSION

Their home felt too ordinary. Buying a burned-out chapel changed everything. **M1**

U.S. to Reclassify Marijuana as Less Dangerous Drug

WASHINGTON—The Trump administration is reclassifying marijuana as a less dangerous drug, a significant policy shift that could make it easier to buy and sell pot and reward investors in the multibillion-dollar cannabis industry.

By *Sadie Gurman, Dean Seal and Alexander Saeedy*

Acting Attorney General Todd Blanche signed an order Thursday that began the process of moving marijuana out of the government's most restrictive drug classification. Marijuana has been classified as a Schedule I drug since

1970, alongside LSD and heroin. The action downgrades marijuana to Schedule III, making it obtainable for medical reasons with a prescription.

The order applies immediately to products approved by the Food and Drug Administration containing marijuana, as well as products regulated by state medical-marijuana rules. Blanche also said there would be an expedited hearing that provides a pathway to reschedule marijuana more broadly.

The move marks the greatest softening of federal cannabis policy in decades.

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◆ **Doctors cite marijuana's** risks to health..... **A6**

How Expensive Are Drinks? Grown-Ups Are Pregaming.

* * *

Americans are turning to the college tradition to stretch their dollars—and their buzz

By *LAURA COOPER*

When Julie McCarthy was a college student, she learned a time-honored budgeting tactic: Downing vodka in her dorm room with friends meant spending less later at the club.

Now 31, she's dusting off the strategy to combat rising prices for drinks at concerts and raves. On one recent night out, a Massachusetts concert venue was charging \$20 for a tall-can of black cherry White Claw.

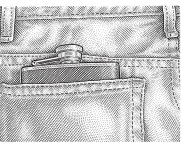
"I saw that and thought 'Wow, I'm really glad I pre-

gamed,' " said McCarthy.

With prices for everything from groceries to gas climbing, Americans are pinching pennies and making hard choices. Many have cut out alcohol altogether. For those who still crave a cocktail, they're entering a flashback era of "pregaming," downing a few drinks at home before going out to keep from spending much more to get the same buzz.

Nearly a third of the 1,000 people surveyed by Zappi who had drinks within the last

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Just a nip

For-Profit Education Company Scoops Up Welfare Dollars

States tap federal money to fund \$1 million Star Academies, but some schools are underwhelmed by student results

By *DAN FROSCH AND SCOTT CALVERT*

John Alvendia's for-profit education company seemed to have flopped in West Virginia.

The four public school districts that were testing his Star Academy program, which promises to turn around the performance of struggling middle-school students, had stopped using it. One school reported worsening behavior and less improvement in English and math for Star Academy students than for other kids.

That didn't stop West Virginia Gov. Patrick Morrisey from sending more business to Alvendia, who earlier had donated nearly \$42,000 to his campaign and affiliated political committees. In January, the Republican

governor announced plans to tap the state's unspent funds from the federal Temporary Assistance for Needy Families welfare program, called TANF, to expand Star Academy. The deal would pay Alvendia's New Orleans-based company, NOLA Education, as much as \$16 million to put the program in 16 other schools.

Elected officials from both parties have steered millions of taxpayer dollars to no-bid contracts for the Star Academy program in several states, records show. Some school districts and state officials have expressed misgivings about the program's cost and effectiveness.

Wall Street Journal interviews with local officials and an examination of school perfor-

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